

Table 17.5

<i>Hedge Fund Partial Correlations</i>		
	<i>Equity</i>	<i>Volatility</i>
HF Index	0.664	0.262
<i>p</i> -value	0.00	0.00
Distress	0.411	0.440
<i>p</i> -value	0.00	0.00
Merger Arbitrage	0.453	0.195
<i>p</i> -value	0.00	0.02
Equity Long/Short	0.106	0.175
<i>p</i> -value	0.19	0.03
Emerging Markets	0.616	0.297
<i>p</i> -value	0.00	0.00
Event Driven	0.624	0.384
<i>p</i> -value	0.00	0.00
Macro	0.399	−0.340
<i>p</i> -value	0.00	0.00
Relative Value	0.330	0.646
<i>p</i> -value	0.00	0.00
Convertible Arbitrage	0.180	0.657
<i>p</i> -value	0.03	0.00

The HF index has a partial correlation of 0.26 with volatility risk. Distress, event-driven, relative value, and convertible arbitrage have partial correlations with volatility of approximately 0.4 or higher. Relative value HFs take offsetting positions, often in fixed income, of securities they perceive to be mispriced relative to each other. Convertible arbitrage HFs invest in convertible fixed income securities and hedge out the equity exposure, generally by shorting common stock but also by using options. All the HF strategies have highly statistically significant exposure to volatility risk. All the volatility risk exposures are also positive with the exception of macro HFs, which trade securities in many asset classes at a global level. (This style classification includes many trend followers, which tend to be long volatility.)

Figure 17.6 graphs year-on-year HF returns with the S&P 500 and volatility risk factors for several HF strategies. Since we are interested in correlations, I have normalized all returns to have the same standard deviation, which is the